

# Business Valuation & Operational Analysis

## Group 1

### Introduction

This user guide was developed as part of a graduate practicum project in partnership with Extreme Networks, Inc., through the Leavey School of Business at Santa Clara University. The objective of this project is to build a scalable process to aggregate, organize, and visualize publicly available financial metrics that benchmark Extreme Networks' performance against a selected group of peer companies.

Given the increasing need for real-time financial comparison and trend analysis, this guide outlines a structured methodology to extract and maintain valuation, operational, and stock performance metrics. The compiled data provides key insights into how Extreme's financial position compares across relevant industry players over time.

To support this effort, a comprehensive Excel-based dataset was developed using S&P Capital IQ's Excel plug-in to ensure accurate and dynamic financial data sourcing. The guide also introduces how the data can be integrated with visualization tools to create dashboards that enhance strategic decision-making.

This document is intended to serve both as a reference for stakeholders at Extreme Networks and as a practical manual for future users who may wish to extend or maintain the benchmarking framework.

### Overview of the Workflow - Excel

This benchmarking model has been structured to allow users at Extreme Networks to easily view, compare, and interpret financial data from 32 peer companies across key valuation, operational, and stock performance metrics. The workflow was designed with clarity, consistency, and scalability in mind, and is broken down into four major components:

#### 1. Summary Sheets (Annual & Quarterly Snapshots)

These consolidated views provide a side-by-side comparison across companies:

- **Operational Metrics (Year/Quarter):** Includes total revenue, profitability, margin metrics (EBITDA, Net Margin), liquidity (current/quick ratios), and cash conversion metrics (DIO, DSO, DPO, CCC).
- **Valuation Metrics (Year/Quarter):** Covers key indicators like P/E, ROE, D/E, market capitalization, TEV, EV/Revenue, and EV/EBITDA.

Each summary table(Operational Metrics) is divided into:

- **Current Year/Quarter Performance**
- **Previous Year/Quarter Performance**

- **Year-over-Year or Quarter-over-Quarter Change %**

## 2. Company-Level Tabs

For more granular analysis, each of the 32 companies has a dedicated tab (e.g., CDW, Arista, Calix). These tabs contain:

- Quarterly Financial Metrics from FQ1 2023 to the most recent available quarter
- Segmented Revenue (where applicable)
- Growth Trends including QoQ and YoY % changes
- Profitability, liquidity, leverage, valuation, and stock performance metrics

Each tab presents a comprehensive financial profile, with formulas powered by the **S&P Capital IQ Excel plug-in** for dynamic data updates. The typical formula syntax is:

*ciqfunctions.udf.CIQ(Ticker, "IQ\_xyz", Time Period)*

### Formatting and Validation Structure:

- **Capital IQ Data (Blue Text):** All raw financial data points—such as revenue, EBITDA, and market cap—are pulled directly using plug-in functions and shown in blue.
- **Manually Calculated Ratios (Black Text):** Key financial ratios such as ROE, D/E, and margin percentages are computed using Excel formulas, with results displayed in black.
- **Validation Checks (Red Text):** Red text is used for internal consistency checks to ensure manually calculated figures align with Capital IQ values or industry norms.

### Additional Notes:

- The dataset covers **fiscal years 2023 to 2025**, including both quarterly and annual data.
- All financial figures are reported in **USD (millions)** unless otherwise noted.
- Each record includes critical timestamps such as **quarter end date, quarter start date, market end date, and filing date**, to maintain contextual accuracy.
- Some **2025 data may not yet be available** or loaded from Capital IQ depending on release schedules.
- Tabs are structured uniformly to enable easy extension, auditing, and formula replication.
- Infinera Corporation merged with Nokia on February 28, 2025. As a result, Infinera's standalone stock price data is no longer available and is not reflected in the current analysis.

This structure allows users to perform detailed peer comparisons while preserving traceability and update efficiency across reporting cycles.

## 3. Data Refresh and Consistency

All financial metrics in this model are automatically extracted using **S&P Capital IQ Excel plug-in**

**formulas**, ensuring real-time accuracy and reducing the need for manual data entry. This consistent integration enables seamless updates across both the summary and individual company tabs with every new quarter's release.

Currently, the model is built out and updated through all quarters of **fiscal year 2025**. To extend the model into **2026 and beyond**, users simply need to:

- **Copy the column structure** used for 2025 (including formulas and formatting)
- **Update the time period row** to reflect the appropriate future quarter (e.g., FQ1 2026, FQ2 2026, etc.)

By maintaining this uniform structure, the model remains scalable and easy to refresh during quarterly reporting cycles.

#### **4. Navigation and Use**

Each sheet is clearly labeled and categorized (automatically coded for the current year/quarter):

- “Operational Metrics (Year)” – Annual-level performance
- “Operational Metrics (Quarter)” – Most recent quarterly financials
- “Valuation (Year)” – Key valuation metrics
- “Valuation (Quarter)” – Quarterly market-based ratios
- “Tableau Operational Metrics(Y)” – Consolidated metrics for Tableau visualizations
- “Tableau OperationalMetrics 2024” – Values only for 2024 summary table

Company sheets (e.g., “CDW”, “HARMONIC”, etc.) – Full financial history with trend analysis

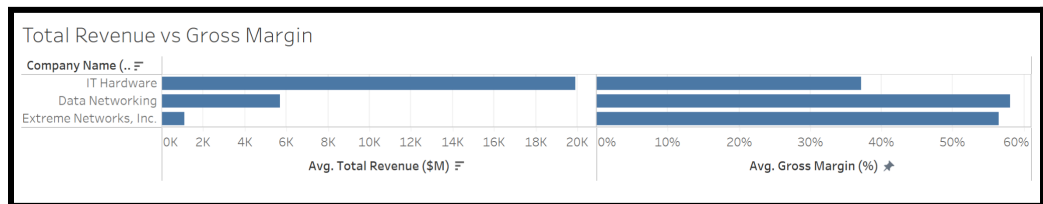
# Overview of the Workflow - Tableau

Connected through the “Tableau Operational Metrics(Y)” sheet

- These numbers are attached to whatever the current year is
- Make sure Tableau files are saved as .twbx file rather than .twb

## 1. Visualizations Included

- Total Revenue vs Gross Margin
  - Bar chart taking the average total revenue / gross margin per industry and compares them to Extreme



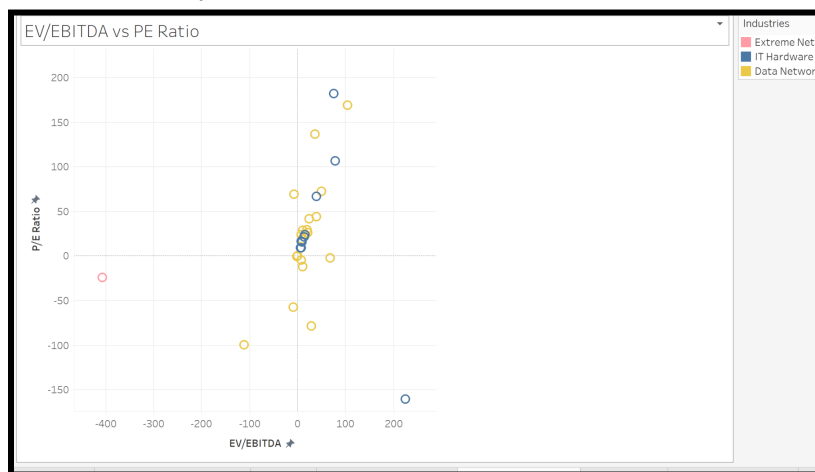
- Company Size Comparison (by Revenue) and Company Size Comparison (by Market Capitalization)
  - Circle charts that represent each company, and the size of each circle is relative to how large the metric is
- Operational Metrics of \_\_\_\_\_
  - Can manually enter the name of any company included to view its operational metrics

The screenshot shows the Tableau interface with the 'Operational Metrics of Extreme' view. The left sidebar contains filters and marks, and the main area displays a table of financial and operational metrics for Extreme Networks, Inc.

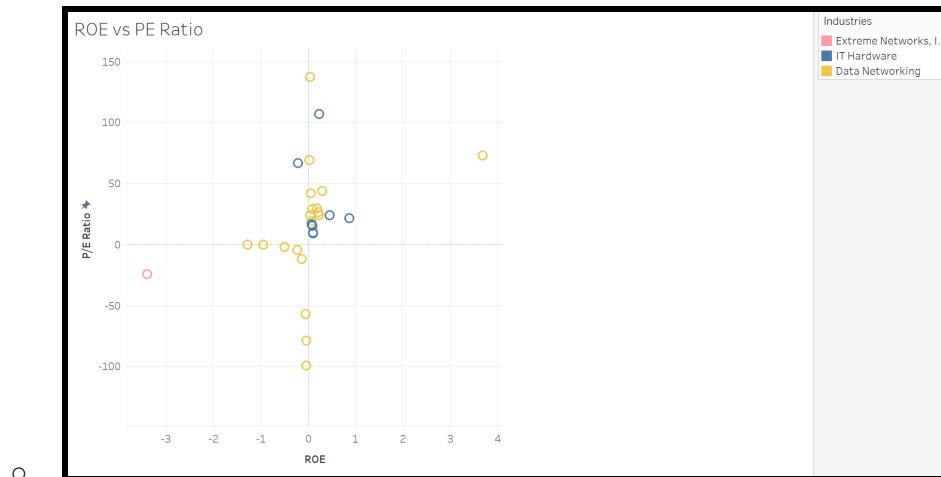
| Operational Metrics of Extreme         |            |
|----------------------------------------|------------|
| Company Name<br>Extreme Networks, Inc. |            |
| Total Revenue (\$M)                    | \$1,117.20 |
| Gross Margin (%)                       | 56.47%     |
| EBITDA (\$M)                           | (\$5.33)   |
| EBITDA Margin (%)                      | -0.48%     |
| Net Margin (%)                         | -7.69%     |
| Eps (\$)                               | (\$0.66)   |
| Dps (\$)                               | 0.00       |
| D/E                                    | 9.48       |
| Dividend Payout Rati..                 | 0.00       |
| Total Assets (\$M)                     | \$1,042.59 |
| Cash Return on Asset..                 | \$0.05     |
| ROE                                    | -3.40      |
| Current Ratio                          | 0.90       |
| Quick Ratio                            | 0.48       |
| DSO (Days)                             | 44.48      |
| DIO (Days)                             | 86.56      |
| DPO (Days)                             | 51.38      |
| Cash Conversion Cycle..                | 79.67      |
| Price per share                        | \$12.49    |
| Market Capitalization..                | \$1,658.11 |
| Total Enterprise Valu..                | \$1,719.40 |
| Cash Flow from Opera..                 | \$55.49    |
| PE                                     | -18.78     |
| EV/Sales                               | 1.41       |
| Ev/EBITDA                              | -295.47    |

- Cash Conversion Cycle
  - A text table that lists the cash conversion cycle per company
  - Can be filtered per industry (and Extreme)

- Days Payable Outstanding vs Cash Conversion Cycle
  - Compares the DPO and cash conversion cycle per company
  - Can be filtered per industry (and Extreme)
  - Two versions - bar chart and text table
- Current Ratio vs Quick Ratio
  - Compares the current ratio and quick ratio per company
  - Can be filtered per industry (and Extreme)
  - Two versions - bar chart and text table
- Gross Margin vs Net Margin
  - Compares the gross margin and net margin per company
  - Can be filtered per industry (and Extreme)
  - Two versions - bar chart and text table
- EV/EBITDA vs EV/Sales
  - Compares the EV/EBITDA and EV/Sales per company
  - Can be filtered per industry (and Extreme)
  - Two versions - bar chart and text table
- DPS vs EPS (vs Price per share)
  - Compares the DPS and EPS per company
  - Can be filtered per industry (and Extreme)
  - The first version contains DPS and EPS (bar chart)
  - The second version contains DPS, EPS, and Price/Share (text table)
- EV/EBITDA vs PE Ratio
  - Bubble chart that plots the EV/EBITDA vs PE Ratio per industry and Extreme
  - Each industry is a different color



- ROE vs PE Ratio
  - Bubble chart that plots the ROE vs PE Ratio per industry and Extreme
  - Each industry is a different color

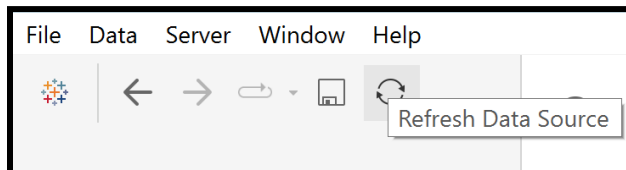


## 2. Data Refresh

After the excel sheet has been updated, Tableau shall focus on the “Tableau Operational Metrics(Y)” sheet. This sheet is currently coded with the key metrics for whichever is the current year.

- Ex. =ciqfunctions.udf.CIQ(B4, "IQ\_TOTAL\_REV", IQ\_FY, , , "USD")

The data can be refreshed automatically through Tableau on the “Data Source” tab



Without refreshing, a new data source shall be added in which the user can connect the new excel file with the updated numbers. This will also allow the user to keep the charts for FY2024 for comparison to new numbers.

